



Bikram Basu

Vice President, Marketing, Strategy and Business Development

Consumers are at the centre of all that we do.

Talk us through some aspects on the alcohol beverage business.

The spirits business is part of the fast-moving consumer goods (FMCG) industry. The difference with a regular FMCG product is strong government regulation on the number of outlets, both in terms of retail and on-trade or bars. Today less than 100,000 retail outlets nationally sell approximately 750 million cases of branded spirits and beer in a year. This is a challenge as the industry competes for very limited shelf space. It is imperative that we embed our brands with consumers for consideration.

Drinking in pubs and bars are on the increase and this gives us more time to engage. The addition of modern retail in the alcohol beverage business, where consumers can browse and interact better with brands is a welcome change. We see this trend quickly moving from major cities to Tier 1 and now even to Tier 2 towns.

In a strongly regulated industry where we cannot advertise product benefits or offer better value and price discovery on media, it is important that we work on human insights and build brand

communication and positioning. There are many successful stories, even in recent times of brands having achieved that, as evidenced by our own success with Sterling Reserve Premium Whiskies, making it the fastest growing spirits brand globally in 2019 (Technopak report 2022).

Where is ABD in terms of its brand offerings?

ABD has a well-recognized product portfolio and has transformed itself from a single brand company with the launch of Officer's Choice in 1988 to a multi-product and multi-brand company. We keep our consumers, present and potential, at the centre of all that we do. It's a business of brands and we recognize that completely. We have Officer's Choice, the world's third largest selling whisky, as our key driver in the mass premium segment in India and this is price laddered to the higher prestige or deluxe segments with Officer's Choice Blue Whisky, again a significant player in the industry with a sale of 5.8 million cases. It is the fifth largest whisky brand in India in its segment (source: Technopak report 2022). I have already mentioned about the tremendous consumer love we've

got on Sterling Reserve Premium Whiskies.

How do you see innovation? Is there a strategic thought in building a product pipeline on this?

Innovation is key to disruptive growth. We have worked very hard on this in recent years and have now introduced some unique, first-time products in the category.

Srishti Premium Blended Whisky is a perfect blend for a consumer to appreciate. What's special is that it's sensory-neutral despite having a natural ingredient like curcumin infused in the blend. Curcumin is the active ingredient with benefits of turmeric or haldi, and we have used it forever in many forms traditionally in our homes. When we say it's sensory neutral, we mean that the product has the aroma, taste, and palate of a good whisky and the addition of natural ingredients does not change any of the sensorial profiles of the product. In a world which seeks natural and organic products, this has its benefits. However, as a product category, we can't and do not make any such claim.

At the other end of the spectrum, we have worked on a latent consumer need with our introduction of Sterling Reserve B7 Whisky Cola Mix. This is not a ready-to-drink low alcohol product, but at the same strength as a normal whisky. You drink it with water, soda or as a shot. The colour is of whisky but the palate is of whisky-cola. There are many who drink whisky with cola. It also eases the acquired taste which a whisky would require for the young adult. The product delivers on taste, convenience, value, and negates the requirement of a mixer.

Innovation at ABD has not been limited to product but has been extended to interesting packaging formats. We now have a hip-shaped flask bottle in PET called the Sterling Reserve 'Hippy' for the young and trendy consumer.

ABD has over the years won several awards. What are your thoughts on this.

Awards are important for recognition of great work. It motivates. However, awards in Marketing to me are good only if the work converts to increased brand equity and sales. Not necessarily individual pieces of work, but the collective. As marketers in our industry, with limited scope to advertise, we need to join several invisible dots in our communication to arrive at the complete picture. We need to see the big picture and then drive the detail to achieve our objectives.

ABD's key brands have been recognized and won major awards including at the Design and Packaging Masters, The Spirits Business London, Monde Selection Bruxelles, International Taste Institute-ITQI Brussels, DMAasia ECHO, YouTube Creator Awards, exchange4media Indian Digital Marketing